

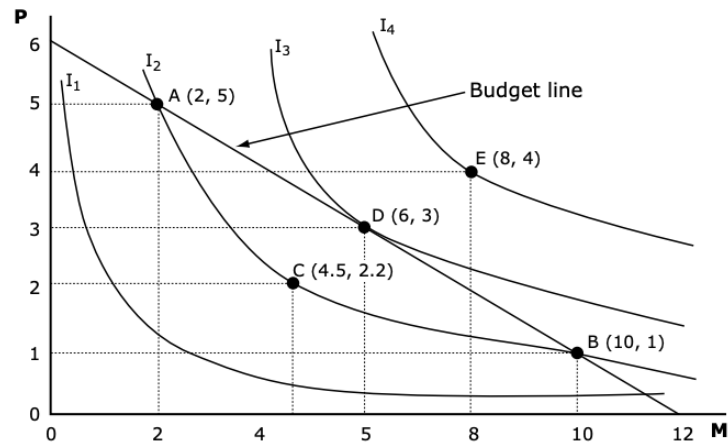
Seminar Quiz 3

The Economy

Sciences Po Paris - Reims

15 minutes. No extra papers. You are free to use calculators.

Exercise 1



1. Recall the budget line / indifference curves of the Pizza-Movies example above. Give the optimal bundle(s) and briefly explain why. (2 points)

2. Give two properties of indifference curves. Draw an indifference curve (or multiple curves) that would violate at least one property. (3 points)

Exercise 2

		Bob	
		Opera	Football
Alice	Opera	(4, 1)	(0, 0)
	Football	(0, 0)	(1, 4)

1. Consider the Battle of the Sexes game above. Find the Nash Equilibrium / Equilibria and the Pareto optimal outcome(s). Do not make comments, just specify the answers. (3 points)

2. Which of the following statements is true for the game above? (2 points)

- A) There is a strictly dominant strategy for Alice.
- B) There is a strictly dominant strategy for Bob.
- C) Both have a strictly dominant strategy.
- D) Neither of them have a strictly dominant strategy.